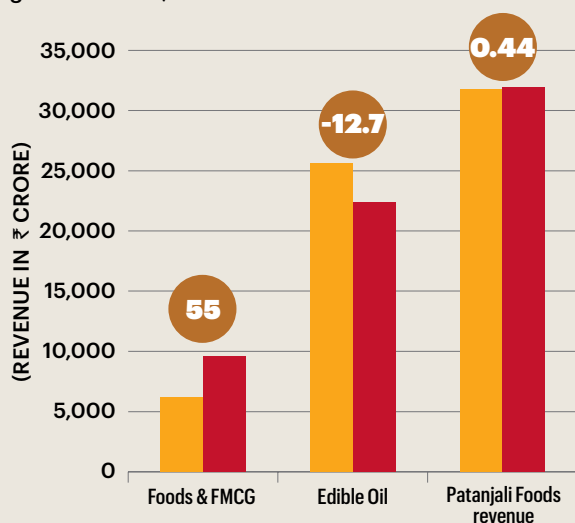


SHAKEN NOT STIRRED

- High exposure to edible oil keeps Patanjali Foods vulnerable to price fluctuations and supply disruptions
- Sliding edible oil prices hit Patanjali Foods' top-line growth in FY24, as edible oil sales declined 12.7%

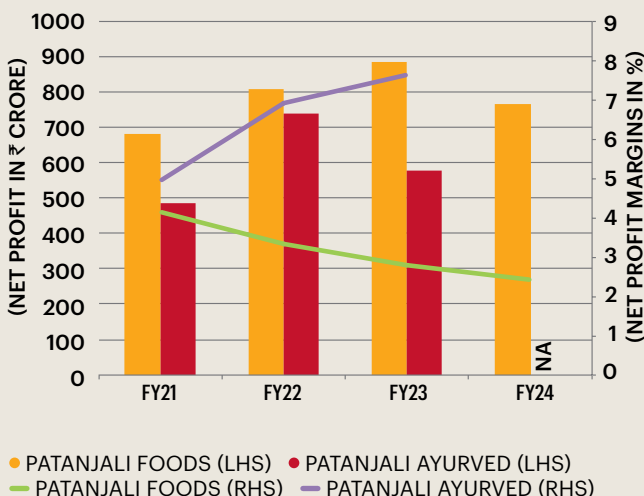


● FY23 ● FY24

FIGURES IN BUBBLES INDICATE YoY CHANGE IN %
SOURCE COMPANY FILINGS

THE BOTTOM LINE

- Low profit margins were a concern for Patanjali Ayurved, even before Patanjali Foods
- Net profit margin in the 4-7.7% range is way lower than peers' 13-24%



NA NOT AVAILABLE

SOURCE BSE, COMPANY FILINGS, ACE EQUITY, AND PROWESS

Ruchi. Edible oil prices fluctuate wildly. In FY24, for instance, when edible oil prices fell by double digits after surging for two years, Patanjali Foods' revenue remained flat: its edible oil sales declined 12.7% from ₹25,634 crore in FY23 to ₹22,384 crore in FY24.

Also, India imports more than 80% of its crude edible oil to refine for domestic customers. Geopolitical tensions such as the Russia-Ukraine war and shipping disruptions often lead to supply shortages.

To hedge against the risk, Patanjali has already transferred the foods businesses of Patanjali Ayurved to Patanjali Foods, increasing the share of the foods & FMCG business in the company from 6.84% in FY22 to 19.49% in FY23 and 30.06% in FY24. In FY24, the foods business kept Patanjali Foods' top line in the black, growing 55% year over year to ₹9,643 crore.

On July 1, Patanjali Foods initiated the acquisition of Patanjali Ayurved's home and personal care (HPC) portfolio, comprising hair, skin, dental and home care products. Some of these are strong brands, such as Dant Kanti in dental care, Soundarya in skincare and Kesh

Kanti in hair care. Patanjali Foods CEO Sanjeev Asthana had said in an earnings call in May, "...we're evaluating the acquisition of Patanjali Ayurved's HPC portfolio" and assessing "strategic synergies". The deal involves Patanjali Foods paying ₹1,100 crore to Patanjali Ayurved against "all movable assets, immovable properties, contracts, licences and employees" related to the portfolio, said a release. Plus, as a part of the agreement, Patanjali Foods would pay 3% of the portfolio's turnover to Patanjali Ayurved for 20 years. While, the revenue potential of the portfolio is not specified, estimates suggest it would be a chunk of the Patanjali Ayurved's ₹6,991-crore sales in FY24.

According to Kejriwal, edible oil processors always run the risk of commodity price variations, so it would be a good move for Patanjali to create an FMCG conglomerate. "The acquisition shall strengthen the company's existing FMCG product portfolio with an array of marquee brands and also contribute to the growth in terms of revenue and Ebitda", Patanjali Foods said in a release.

Patanjali Foods is focussing on oil palm plantations, Asthana had said, and already has over 74,376 hectares